NEW OWN RESOURCES

FOR A STRONGER EUROPEAN UNION

GLOBAL CITIZEN

Global Redistribution Advocates

637

bn EUR borrowed

The EU responded collectively to the aftermath of the COVID-19 crisis with the NextGenerationEU plan. By raising funds jointly, Member States made it possible to secure more favourable borrowing terms. Working together paved the way for a common European response, strengthening the resilience and unity of the European Union.

Debt service will begin in 2028. The question of how this debt will be repaid will be at the heart of negotiations on the next Multiannual Financial Framework (2028-2034). These two milestones create a critical political window in which the commitment to European cooperation is to be reaffirmed.

2028

Start of servicing

---

6 Ideas

for New Own Resources

The European Commission proposed five new own resources in its ORD proposal. We contribute to the forthcoming discussion by presenting other new sources of revenue for the EU budget that are not a reallocation of existing national contributions. The six new own resources we propose will contribute to a fairer and more effective European fiscal framework by making the wealthiest contribute, taxing documented harm, correcting the fairness of the fiscal framework and making it more efficient to align with the common good.

Building on the legacy of NextGenerationEU is not only about fiscal solidarity, it is also about carrying forward a common European project. Strong emphasis was put on the green transition and digital transformation, as well as support for future generations and social cohesion. To preserve this legacy, we propose to raise revenues from a reform of aviation taxes, an augmented European VAT on luxury, a one-off levy on millionaire wealth, a tax on financial transactions and a tax on digital services. Our estimations show that these measures would raise 98 bn EUR per year. Each proposal will be summed up below and detailed in following annexes.

98 bn

in new revenues

One
Deal

The new own resources we propose are based on Article 311 TFEU. Their adoption requires unanimity, both at Council level and through ratification by every Member State. We present six ideas to help build consensus. They do not constitute a single package, but aim to help identify the right combination of instruments and prepare a deal acceptable to all Member States. With this in mind, both the rates and scope of the selected instruments could vary. Alternative options are also presented for several of the proposed resources.

---

30 bn
for future-preparedness

We propose to earmark 60% of the wealth tax revenue to a European sovereign fund, at a time when major investments are needed for the ecological transition and for competitiveness. Sized at 3% of EU GDP, the fund would make sure that wealth taxation does not divert resources away from productive investments. While holding a diversified portfolio of equities, the fund would prioritize primary investments in European companies with a strategic or sustainable dimension.

We also propose to earmark one third of the luxury tax revenue to international public goods. Member States would allocate part of their revenue share to their preferred causes, such as pandemic preparedness, funds rewarding jurisdictions that invest in renewable energy, grid extensions, or reforestation. Member States (or even private donors) would be incentivized to contribute additional funds by a mechanism where doing so would grant them with the right to allocate part of other contributors' contributions.

50%
GNI-contribution share

Discussions on the composition of the package must treat the GNI contribution as one component among other revenue proposals in determining the collectively agreed mix. Of the 98 bn EUR collected, we propose to allocate 24 bn to NGEU interest repayment, 14 bn to expand the EU budget, 30 bn to finance new funds and 30 bn to reduce GNI contributions. The updated GNI contributions would be 104 bn EUR, accounting for 50% of the EU budget. The package encourages economic activity with greater social efficiency through measures that correct market inefficiencies and externalities. Furthermore, national expenditures will be reduced, benefiting both from cuts in GNI contribution and expansion of the EU budget, while costs will be primarily borne by the wealthiest. Even taking into account the foregone revenue from existing domestic taxes, this makes every country gain 0.5 to 0.7% of GNI in fiscal space. The table below documents these gains.

Taxing Digital Services

6 bn
From Digital Services Tax

Big digital companies escape Corporate Income Taxes. International cooperation has so far failed to produce a collective response. Taxing 3% of revenues from the digital sector serves as a temporary measure to capture the untaxed part of profits. Repealed once an international agreement is reached, the instrument signals the EU's position and pushes international partners to return to the negotiating table. France, Italy and Spain have already implemented such a tax, and more Member States plan to legislate on the issue, making the instrument technically prepared and politically ripe.

15%
On digital ads

Online advertising exploits users' cognitive biases in the pursuit of effectiveness, causing documented harms, particularly among young people, from mental health problems to misinformation and radicalisation. Economists, including Nobel laureates Daron Acemoglu and Simon Johnson, propose implementing a 50% excise tax to force a paradigm shift. An initial rate of 15% sends a strong signal, preparing industry players for a gradual increase.

A Moderate Wealth Tax

0.5%
Top tax rate

A moderate tax on the wealth of millionaires would address rising inequality with negligible effects on aggregate demand. In the central scenario, the proposed rate goes from 0.1% for wealth above 1 million euros to 0.5% for wealth in excess of 100 million euros (we also present another scenario where the tax starts at 100 million euros). We design it as a *one-off* levy, payable over thirty years, thus avoiding pitfalls that have historically undermined recurrent wealth taxes. Indeed, the tax would be owed based on wealth assessed on 1 January 2028, so it would not deter future investment. The tax can be paid in kind to prevent any liquidity issue.

26 bn
Per year

The tax schedule of our central scenario would raise €26 bn per year. While a wealth tax would require unanimity at the EU Council, it is supported by over 80% of Europeans.

A Tax on Luxury

20%
Extra rate on luxury goods

Economic analysis shows that luxury goods should be taxed at 42%, that is, a rate 20 percentage points above the current VAT rate. This VAT would apply uniformly to yachts, private jets, luxury cars, artwork, jewelry, luxury watches, bags and apparel, cruises, luxury hotels, fine wines and spirits, fine dining. Simultaneously, non-EU visitors will lose the VAT refund for their purchases of luxury goods in the EU. This tax would require unanimity at the EU Council, but is straightforward to implement since the administration already collects the VAT and categorizes goods.

40 bn
Per year

The tax would raise €40 bn per year, and could even be doubled or tripled since the 20% extra tax is computed using very conservative assumptions. The most affected sectors would be the German car industry, the French and Italian luxury sector, and the Mediterranean luxury tourism. Eastern Europe, Northern Europe, Germany and the Netherlands would contribute less than their GNI share to this extra tax, while a substantial share of the tax burden would fall on non-EU visitors. Countries that contribute a larger-than-average GNI share would benefit from increased revenue of domestic VAT thanks to the coordinated abolition of the VAT refund for non-EU visitors. Luxury goods are partly purchased to signal one's wealth, a motive that would play out with lower resource use if they are priced more. Plus, they confer status, which entails a negative externality onto others. While inequality should in principle be addressed via income taxes, tax competition among EU countries results in insufficient top tax rates. An EU-level tax on luxury goods is a second-best substitute for harder-to-harmonise EU income taxes. Taxing luxury also has the desirable property that it does not reduce philanthropy or investment.

A Financial Transactions Tax (FTT)

0.5%
Rate on equity transfers

The transfer of ownership of shares issued by companies incorporated in the EU would be taxed at 0.5% to fund EU own resources. The scope is deliberately narrow (covering only net transactions and exempting bonds, foreign exchanges and derivatives) to start with the easily implementable instrument. This leaves to later extensions the broader scope that triggered objections by Member States in a previous attempt (and aimed to raise €57 bn). While this tax requires unanimity at the EU Council, it does not cause economic distortions and is highly popular. Indeed, the burden of the tax would fall on (predominantly wealthy) stock owners. Given the exemption of intraday and derivative trading, it should be understood as a revenue-generating tax rather than an externality corrective.

8 bn

Per year

The tax and its rate mimic the UK stamp duty, which has collected steady revenue for over 300 years. It would collect €8 bn per year at the EU level at a low rate on a large and concentrated tax base. France, Italy, Spain, Belgium and Ireland already have similar instruments in place. They could offset the loss of their FTT revenue to the EU budget by either expanding the scope of their national tax or increasing the rate. Two countries stand out as main collectors of the FTT due to hosting companies with the highest market capitalisation: France and the Netherlands. However, taxpayers (the stock owners) are located worldwide.

The tax would reduce trading volume only moderately (by 10–20%). Empirical evidence shows no significant effects on market liquidity or volatility, nor on the cost of capital or the competitiveness of financial centres. A study of the French tax even finds a positive effect on corporate investment, since the tax induces a shift from short-term to longer-term stock ownership.

Aviation Tax Reforms

2.7%

Tax on seat vacancy

In Europe, 20% of flight seats depart empty. We propose a tax on vacant seats at a rate of 82.6%, combined with an additive VAT on airline tickets of 3.7% for intra-EU flights. This design aims to reduce seat vacancy to its optimal level while preserving passenger flows, thereby benefiting every country, even touristic ones. Analysis shows that it leads airlines to reduce flight frequency by 18%. The tax not only raises €2.5 bn in additional revenue, it also makes the sector more efficient, generates €5.4 bn in economic surplus for the EU, removes 8 MtCO_2 of emissions, and reduces the EU oil bill. By targeting only intra-EU flights, the design aims to overcome the obstacles that led to the failure of the Commission's 2012 proposal due to foreign retaliation.

8 bn

from augmented VAT

The aviation sector benefits from VAT exemptions that have no economic justification. This leads to a misallocation of resources unduly benefiting the sector, even absent any climate or inequality considerations. We propose to set the EU-wide VAT on intra-EU flights above the passenger-preserving rate, at the level that corrects the distortion, that is at 20% (on top of domestic VAT). Our proposal would generate €8 billion per year. These aviation reforms are just a first step toward a more comprehensive package, ideally agreed internationally, that would tax business class tickets, fully price aviation's climate externalities (including contrails non-CO_2 effects), extend to extra-EU flights, and partly finance global public goods.

Table 1: Member State's contribution from the proposed new own resources in EUR millions.

Country	A 3% DST	15% Ad tax	0.5% FTT	Wealth tax	Aviation carbon tax	Luxury VAT
Austria	143	330	26	920	185	1,346
Belgium	201	184	61	722	187	1,333
Bulgaria	38	18	.2	40	46	218
Croatia	46	26	.3	36	65	313
Cyprus	16	17	.8	46	49	204
Czechia	178	263	3.8	348	75	626
Denmark	108	258	114	533	192	571
Estonia	23	21	.1	29	15	68
Finland	97	133	81	152	122	394
France	1,084	1,691	3,100	6,670	915	8,432
Germany	978	2,700	1,595	8,344	1,027	7,847
Greece	91	54	23	118	432	857
Hungary	140	113	5.9	208	63	340
Ireland	97	160	241	331	160	517
Italy	467	891	544	2,618	1,209	7,684
Latvia	27	20	0	20	31	68
Lithuania	41	24	.1	31	24	109
Luxembourg	10	32	0	208	36	245
Malta	7	10	0	9	46	122
Netherlands	333	652	1,961	913	337	1,496
Poland	497	427	63	560	202	1,088
Portugal	137	84	25	330	332	870
Romania	135	30	1.9	121	105	435
Slovakia	76	37	0	19	8.5	177
Slovenia	33	14	.4	75	5.1	150
Spain	687	830	241	2,151	1,586	4,202
Sweden	190	601	245	712	197	966
European Union	**5,880**	**9,616**	**8,335**	**26,264**	**7,650**	**40,678**

Table 2: Member State's contribution from the proposed new own resources in % of their GNI.

Country	A 3% DST	15% Ad tax	0.5% FTT	Wealth tax	Aviation carbon tax	Luxury VAT
Austria	.035	.081	.006	.226	.045	.33
Belgium	.04	.036	.012	.142	.037	.263
Bulgaria	.073	.034		.076	.088	.416
Croatia	.079	.044	.001	.062	.11	.535
Cyprus	.073	.077	.004	.209	.224	.928
Czechia	.078	.116	.002	.153	.033	.275
Denmark	.031	.074	.033	.153	.055	.164
Estonia	.074	.068		.094	.05	.22
Finland	.038	.052	.032	.06	.048	.154
France	.042	.066	.12	.259	.036	.327
Germany	.026	.072	.043	.224	.028	.21
Greece	.05	.03	.013	.065	.239	.474
Hungary	.094	.076	.004	.14	.042	.228
Ireland	.03	.049	.075	.102	.049	.16
Italy	.026	.049	.03	.144	.067	.424
Latvia	.082	.06		.06	.093	.206
Lithuania	.076	.044		.057	.044	.201
Luxembourg	.02	.063		.412	.071	.485
Malta	.051	.073		.066	.335	.893
Netherlands	.04	.078	.234	.109	.04	.179
Poland	.091	.078	.011	.102	.037	.199
Portugal	.065	.04	.012	.156	.156	.411
Romania	.063	.014	.001	.056	.049	.202
Slovakia	.078	.038		.02	.009	.182
Slovenia	.064	.027	.001	.146	.01	.291
Spain	.057	.068	.02	.177	.131	.346
Sweden	.034	.109	.044	.129	.036	.175

Table 3: Decomposition of the own-resources deal by member state (in EUR millions).

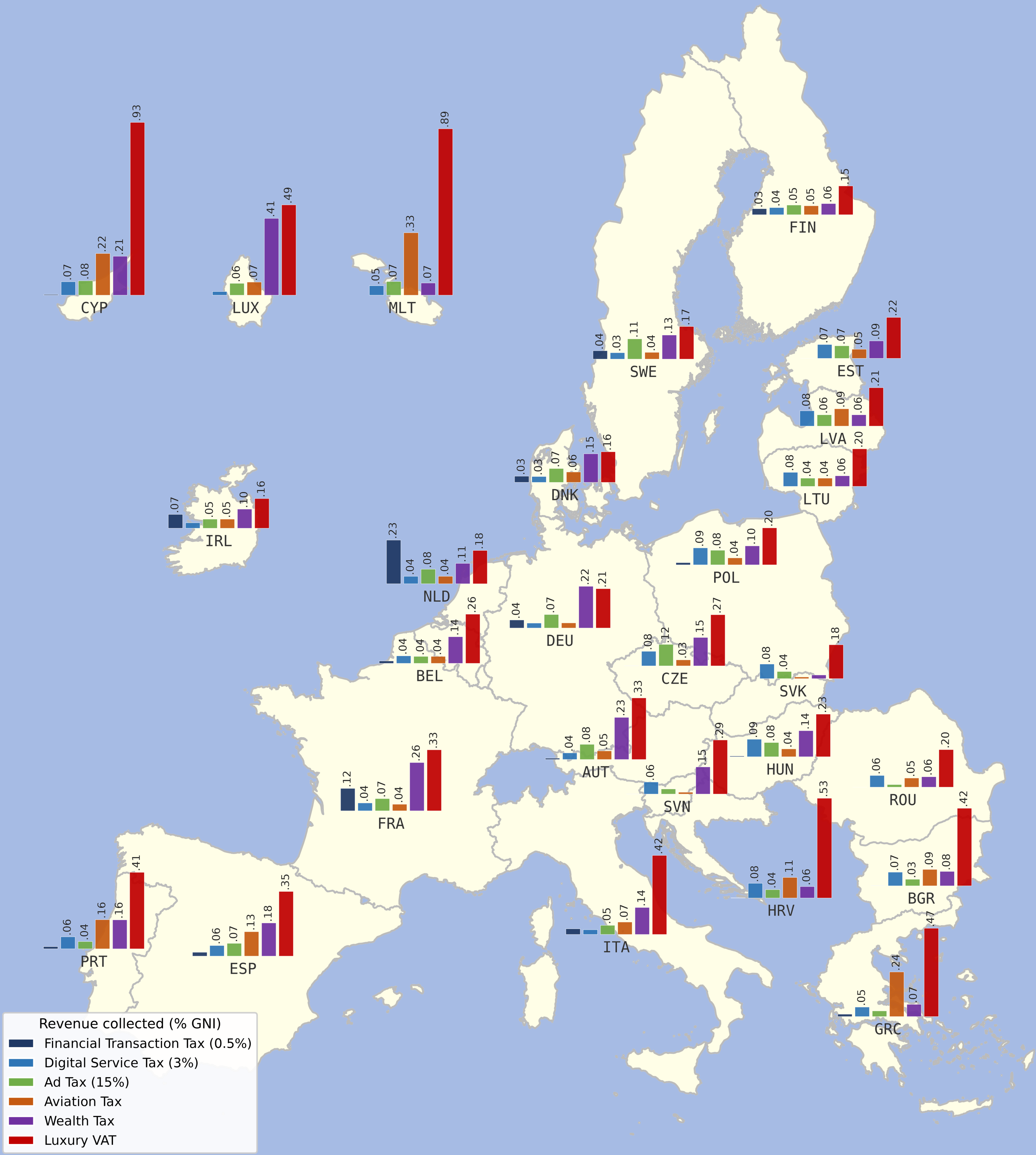
Country	New revenues	New funds	EU budget	Foregone domestic rev.	State budget gain	Overall gain
Austria	2,951	1,001	1,950	101	1,443	2,657
Belgium	2,688	877	1,810	61	1,858	3,366
Bulgaria	360	97	263	0	198	354
Croatia	486	126	360	0	221	395
Cyprus	333	96	238	0	83	149
Czechia	1,493	417	1,076	0	861	1,538
Denmark	1,776	510	1,266	0	1,319	2,355
Estonia	156	40	116	0	117	209
Finland	980	223	757	0	967	1,727
France	21,892	6,813	15,079	4,184	5,561	13,221
Germany	22,491	7,622	14,869	0	14,116	25,212
Greece	1,574	356	1,218	23	662	1,200
Hungary	870	238	632	0	564	1,007
Ireland	1,506	371	1,135	241	983	1,945
Italy	13,413	4,132	9,281	1,012	5,854	11,251
Latvia	166	35	131	0	125	224
Lithuania	229	55	174	0	204	365
Luxembourg	530	206	324	0	191	341
Malta	194	46	148	0	52	93
Netherlands	5,692	1,046	4,645	0	3,169	5,659
Poland	2,837	699	2,139	0	2,074	3,704
Portugal	1,778	488	1,290	0	802	1,432
Romania	828	218	611	0	815	1,456
Slovakia	317	70	247	0	368	658
Slovenia	277	95	182	0	195	348
Spain	9,697	2,691	7,006	928	3,664	7,274
Sweden	2,911	749	2,162	0	2,092	3,736
European Union	**98,422**	**29,318**	**69,105**	**6,550**	**48,559**	**91,877**

Column definitions:
(1) New revenues generated by our proposals.
(2) New revenues funding the UE budget.
(3) Revenues funding new EU funds financed with 60% of the wealth tax and a third of luxury tax revenues.
(4) Foregone revenues from existing domestic taxes (DSTs and FTTs).
(5) State budget gain from the deal: reduced GNI contribution relative to the status quo, net of foregone revenues from national DSTs and FTTs. GNI contributions are 104 bn in our proposal, down from 149 bn in the status quo (incl. an extra 24 bn compared to current contributions to repay the NGEU debt).
(6) State + EU budget from the deal: State budget gain in previous column, plus increased funding of EU budget and new funds allocated to each Member State according to their GNI share.

Table 4: Decomposition of the own-resources deal by member state (in % of GNI).

Country	New revenues			Foregone domestic rev.	State budget gain	Overall gain
	Total	New funds	EU budget			
Austria	.723	.245	.478	.025	.354	.651
Belgium	.53	.173	.357	.012	.366	.664
Bulgaria	.687	.184	.503		.379	.676
Croatia	.831	.215	.615		.379	.676
Cyprus	1.51	.435	1.08		.379	.676
Czechia	.656	.183	.473		.379	.676
Denmark	.51	.146	.363		.379	.676
Estonia	.506	.13	.376		.379	.676
Finland	.384	.087	.297		.379	.676
France	.85	.265	.586	.163	.216	.514
Germany	.603	.204	.399		.379	.676
Greece	.87	.197	.673	.013	.366	.663
Hungary	.584	.16	.424		.379	.676
Ireland	.466	.115	.351	.075	.304	.601
Italy	.739	.228	.512	.056	.323	.62
Latvia	.501	.105	.396		.379	.676
Lithuania	.423	.102	.322		.379	.676
Luxembourg	1.05	.409	.642		.379	.676
Malta	1.42	.337	1.08		.379	.676
Netherlands	.68	.125	.555		.379	.676
Poland	.518	.128	.39		.379	.676
Portugal	.839	.23	.609		.379	.676
Romania	.385	.101	.284		.379	.676
Slovakia	.326	.072	.254		.379	.676
Slovenia	.538	.184	.354		.379	.676
Spain	.799	.222	.577	.076	.302	.6
Sweden	.527	.136	.391		.379	.676
European Union	**.676**	**.201**	**.475**	**.045**	**.334**	**.631**

Column definitions:
(1) New revenues generated by our proposals.
(2) New revenues funding the UE budget.
(3) Revenues funding new EU funds, financed with 60% of the wealth tax and a third of luxury tax revenues.
(4) Foregone revenues from existing domestic taxes (DSTs and FTTs).
(5) State budget gain from the deal: reduced GNI contribution relative to the status quo, net of foregone revenues from national DSTs and FTTs. GNI contributions are 0.71% of GNI in our proposal, down from 1.09% in the status quo (incl. an extra 0.16% compared to current contributions to repay the NGEU debt).
(6) State + EU budget from the deal: State budget gain in previous column, plus increased funding of EU budget and new funds allocated to each Member State according to their GNI share. Just as in (5), lower gains for a Member State stem from foregone revenues from national DSTs or FTTs. Welfare costs of the new taxes vary across countries but are mostly borne by the wealthiest.



CYP
.07 .08 .22 .21 .93
LUX
.06 .07 .41 .49
MLT
.05 .07 .33 .07 .89
FIN
.03 .04 .05 .05 .06 .15
SWE
.04 .03 .11 .04 .13 .17
EST
.07 .07 .05 .09 .22
LVA
.08 .06 .09 .06 .21
LTU
.08 .04 .04 .06 .20
DNK
.03 .03 .07 .06 .15 .16
IRL
.07 .05 .05 .10 .16
NLD
.23 .04 .08 .04 .11 .18
POL
.09 .08 .04 .10 .20
DEU
.04 .07 .22 .21
BEL
.04 .04 .04 .14 .26
CZE
.08 .12 .03 .15 .27
SVK
.08 .04 .18
AUT
.04 .08 .05 .23 .33
HUN
.09 .08 .04 .14 .23
SVN
.06 .15 .29
ROU
.06 .05 .06 .20
FRA
.12 .04 .07 .04 .26 .33
HRV
.08 .04 .11 .06 .53
BGR
.07 .03 .09 .08 .42
ITA
.05 .07 .14 .42
PRT
.06 .04 .16 .16 .41
ESP
.06 .07 .13 .18 .35
GRC
.05 .24 .07 .47
Revenue collected (% GNI)
Financial Transaction Tax (0.5%)
Digital Service Tax (3%)
Ad Tax (15%)
Aviation Tax
Wealth Tax
Luxury VAT